

Prevention of Money Laundering Act (PMLA), 2002 was enacted by the then NDA government to prevent money laundering and to provide for confiscation of property derived from money laundering. This Act got the assent of the President on 17 January, 2003. PMLA and the Rules notified there under came into force with effect from July 1, 2005.

International Organizations

1. Which of the following statements is correct regarding QUAD?

- (a) QUAD is a strategic forum of four nations—India, US, Japan and Australia.
- (b) Its genesis was in 2004.
- (c) The intention was to enhance maritime cooperation among the four nations.
- (d) More than one of the above
- (e) None of the above

B.P.S.C. PRT 2023 Shift II

Ans. (d)

Quad is a strategic forum of four nations- India, USA, Japan and Australia. Formally the Quadrilateral Security Dialogue, the Quad began as a loose partnership after the 2004 Indian ocean tsunami, when the four countries joined together to provide humanitarian and disaster assistance. As per Quad members group is meant to deepen economic, diplomatic and military ties among the four countries.

2. The 'Ease of Doing Business Index' prepared and published by :

- (a) World Trade Organization
- (b) World Bank Group
- (c) United Nations
- (d) European Union
- (e) None of the above/More than one of the above

60th to 62nd B.P.S.C. (Pre) 2016

Ans. (b)

Ease of Doing Business Index was an annual index published by the World Bank. In this index, ranking was provided to the countries of the world on the basis of basic changes made to provide trade facilities. In the year 2021, the World Bank has discontinued the publication of ease of Doing Business Report.

3. Consider the following statements regarding the recent export-import trade of India-

- 1. The textile sector contributes 21% and gems and jewellery 17% in India's exports.**

- 2. Western Europe and North America together account for 53% of India's exports and 40% of its imports.**
- 3. Latin American, Sub-Saharan African and Middle East countries present the most potential markets for Indian export trade.**
- 4. India's share in world exports is a little over 2%.**

Which of these statements are correct?

- (a) 1 and 2
- (b) 2, 3 and 4
- (c) 3 and 4
- (d) 1, 2 and 3

47th B.P.S.C. (Pre) 2005

Ans. (*)

The contribution of textile sector in India's exports was 12.0% in the year 2004-05 and the contribution of gems and jewellery sector was 16.5%. The **European Union (EU)** had 21% and the United States of America (USA) had 16.5% of India's exports in the year 2004-05. In the year 2004-05 India's import was 16.8% of (EU) and 6.3% of USA. The new Import-Export Policy, 2004 has identified countries in Latin America, Sub-Saharan Africa and the Middle East as the most potential markets for Indian exports. India's share in world exports was 0.8% in 2004-05. Hence, none of the given answer options is correct.

4. W.T.O. came into existence-

- (a) January, 1994
- (b) January, 1995
- (c) January, 1996
- (d) January, 1997

43rd B.P.S.C. (Pre) 1999

Ans. (b)

The World Trade Organization was established on January 1, 1995 as the successor of the General Agreement on Tariffs and Trade (GATT). The 1986-94 Uruguay Round - led to the WTO's creation.

5. Ngozi Okonjo-Iweala became the first woman of the world and the first African woman to be appointed as the Head of the World Trade Organization (WTO). She hails from which country?

- (a) Algeria
- (b) Kenya
- (c) Nigeria
- (d) Tanzania
- (e) None of the above / More than one of the above

B.P.S.C. CDPO 2022

Ans. (c)

Ngozi Okonjo-Iweala GCON, is a Nigerian-American economist. She assumed the role of Director-General of the World Trade Organization in March 2021. She holds the distinction of being the first woman and the first African to lead the World Trade Organization as Director-General.

6. **The Global Gender Gap Report is released by**
(a) the World Bank (b) the UN Women
(c) the World Economic Forum (d) the UNDP

69th B.P.S.C. (Pre) 2023

Ans. (c)

Global Gender Gap Report is released annually by the World Economic Forum (WEF) Since 2006, it measure gender parity in 146 countries. India's rank in GGG Report is 129 in 2024.

7. **According to the Ease of Doing Business Report, 2020, India improved their rank from :**
(a) 77 in previous year to 63rd position
(b) 130 in previous year to 100th position
(c) 100 in previous year to 77th position
(d) 77 in previous year to 67th position
(e) None of the above / More than one of the above

66th B.P.S.C. (Pre) 2020

Ans. (a)

As per the World Bank's Ease of Doing Business Report 2020, India had jumped 14 places to the 63rd position (out of 190 countries) on the Ease of Doing Business Ranking. India's ranking in Ease of Doing Business Report 2019 was 77 among 190 countries. The top 3 countries (economies) in 2020 report were : 1. New Zealand, 2. Singapore, 3. Hong Kong.

8. **Which of the following financial institution is not related to the World Bank Group?**
(a) IFC (b) IBRD
(c) ADB (d) IDA

43rd B.P.S.C. (Pre) 1999

Ans. (c)

The World Bank (IBRD = **International Bank for Reconstruction and Development**) was established in the year 1944 under the agreement made at the United Nations Monetary and Financial Conference from July 1 to July 22, 1944 in Bretton Woods (New Hampshire, USA) of 44 nations. It was established with the aim of helping to bring the wartime economy back to a normal level in a peaceful manner. 5 institutions in the World Bank Group are—International Development Association (IDA, established 1960), International Finance Corporation (IFC, established July, 1956), International Center for Investment Disputes (ICSID) established in 1966, Multilateral Investment Guarantee Agency (MIGA, established April 1, 1988. The Asian Development Bank (ADB) was established on December 19, 1966 in Manila, the capital of the Philippines, with the idea that there should be an institution like the World Bank to meet the needs of the Asian region.

9. **According to the World Bank's development report, the position of the Indian economy in the world is the :**

- (a) Largest (b) Smallest
(c) Second Largest (d) Fifth Largest

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (*)

None of the given options was correct as per the question period. As per the World Development Report 2008 of the World Bank, Indian economy was the fourth largest economy in terms of PPP. According to the World Bank's data, Indian economy had overtaken UK to become the 5th largest economy (after USA, China, Japan and Germany) in 2019 on the basis of nominal GDP, but due to COVID-19 pandemic impact, India has been pushed back to being the world's sixth biggest economy in 2020. At present, India is 5th largest economy of the World after USA, China, Japan and Germany.

10. **Indian Development Forum (IDF) was earlier known as :**

- (a) Aid India Consortium (b) Aid India Bank
(c) World Bank (d) None of the above

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (a)

The 'Aid-India Consortium' was organized in 1958 as an international scheme to support the economic development of India, and led by the World Bank. This later came to be known as the 'Indian Development Forum'. The World Bank provides long term loans for the improvement of infrastructure (like construction of road, water etc.).

11. **Which of the following organizations brings out the publication known as 'World Economic Outlook'?**

- (a) The International Monetary Fund
(b) The United Nations Development Programme
(c) The World Economic Forum
(d) The World Bank
(e) None of the above/More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The 'World Economic Outlook' is published by International Monetary Fund (IMF). It is usually published twice and partly updated 2 times a year. 'Human Development Report' is published by UNDP and 'World Development Report' is published by the World Bank, while 'Global Competitiveness Report' is released by the World Economic Forum.

12. Which of the following is not taken as one of the parts for preparing the “Human Development Index in India” under the United Nations Development Program (UNDP)?

- (a) Real GDP per capita income in US dollars
- (b) Literacy rate
- (c) life expectancy at birth
- (d) Infant mortality rate

47th B.P.S.C. (Pre) 2005

Ans. (d)

UNDP has the following components in constructing the Human Development Index-

- (1) per capita income (in dollars based on purchasing power parity)
- (2) literacy rate
- (3) Life expectancy at birth

Like all other countries, only the above three components are used in India to construct the Human Development Index.

13. General Human Development Index includes mainly

- (a) life expectancy
- (b) per capita income
- (c) literacy rate
- (d) All of the above
- (e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (d)

See the above question's explanation.

14. Who is known as the third pillar in international economic cooperation?

- (a) International Monetary Fund
- (b) World Bank
- (c) World Trade Organization
- (d) GATT

46th B.P.S.C. (Pre) 2004

Ans. (c)

The World Bank and the **International Monetary Fund** (IMF) are recognized as the first and second pillars of international economic cooperation. The **World Trade Organization** (WTO), the successor body of GATT, which came into existence on January 1, 1995, has been accepted as the third pillar of international economic cooperation. The work of WTO is related to the smooth functioning of international trade.

15. TRIMs stands for :

- (a) Trade-Related Income Measures
- (b) Trade-Related Incentives Measures

- (c) Trade-Related Investment Measures
- (d) Trade-Related Innovative Measures
- (e) None of the above/More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (c)

TRIMs (Trade-Related Investment Measures) is a **World Trade Organization** (WTO) agreement that restricts preference of domestic firms and thereby enable international firms to operate more easily with foreign markets. This agreement, negotiated during the Uruguay Round, applies only to measures that affect trade in goods. Recognizing that certain investment measures can have trade-restrictive and distorting effects, it states that no member shall apply a measure that is prohibited by the provisions of GATT Article III (national treatment) or Article XI (quantitative restrictions). It is one of the four principal legal agreements of the WTO trade treaty, which was concluded in 1994 and came into force in 1995.

16. Who was not included in the Millennium Development Goal?

- (a) Eradication of poverty and hunger
- (b) Attainment of universal primary education
- (c) Promoting gender equality and women empowerment
- (d) Achieving double digit economic growth rate

46th B.P.S.C. (Pre) 2004

Ans. (d)

The Millennium Development Goals were measured by 21 targets. Following the success of the MDGs, the United Nations Development Program (UNDP) has set the Sustainable Development Goals (SDGs) to achieve 17 goals from 2016 to 2030. Based on the Millennium Declaration signed by the 189 countries of the United Nations in September 2000, the United Nations declared 8 Millennium Development Goals and 17 goals, which were to be achieved by the year 2015 by the member countries. The 8 Millennium Development Goals are-

- (1) eradication of extreme poverty and hunger,
- (2) universal primary education
- (3) promoting women's empowerment and gender equality,
- (4) reducing child mortality, (5) improvement in maternal health,
- (6) preventing HIV/AIDS, malaria and other diseases
- (7) improving the environment, ensuring sustainability and
- (8) developing a global partnership for development.

Note: The Millennium Development Goals were revised when the United Nations General Assembly added 4 additional

17. Where is the BRICS Summit, 2019 scheduled to be held?

- (a) Brazil
- (b) India
- (c) China
- (d) Russia
- (e) None of the above/More than one of the above

65th B.P.S.C. (Pre) 2019

Ans. (a)

The 2019 BRICS Summit was the eleventh annual BRICS Summit, which was held in November 2019 in Brasilia, Brazil. The 2020 (12th) BRICS Summit was originally scheduled to take place in Saint Petersburg, Russia in July 2020, but was changed to a video conference held on 17 November 2020 due to the outbreak of global COVID-19 pandemic. The 2024 (16th) BRICS Summit was hosted by Kazan (Russia) on 22-24 October 2024. Its theme was Strengthening Multilateralism for just Global Development and Security.

18. 'Mekong-Ganga Cooperation' was launched in 2000 at :

- (a) Laos
- (b) Thailand
- (c) Cambodia
- (d) India
- (e) None of the above / More than one of the above

66th B.P.S.C. (Pre) (Re-Exam) 2020

Ans. (a)

The 'Mekong-Ganga Cooperation' (MGC) is an initiative aiming to facilitate closer connection between its 6 members countries – India, Thailand, Myanmar, Cambodia, Laos and Vietnam. MGC was established in November, 2000 at Vientiane, Laos at the first MGC Ministerial Meeting. The organization takes its name from the Ganga and Mekong, two large rivers in the region. The four areas of cooperation under MGC are tourism, culture, education and transportation.

19. Which of the following is not associated with NAFTA?

- (a) Great Britain
- (b) Canada
- (c) Mexico
- (d) USA
- (e) None of the above/More than one of the above

64th B.P.S.C. (Pre) 2018

Ans. (a)

The North American Free Trade Agreement (NAFTA) was an agreement signed by Canada, Mexico and the United States, creating a trilateral trade bloc in North America. NAFTA came into force on 1 January, 1994. In September 2018, the United States, Mexico and Canada reached an agreement to replace NAFTA with the United States-Mexico-Canada Agreement (USMCA), and after the signing and ratification by all three countries, the USMCA took effect on 1 July, 2020, replacing NAFTA with a modernized agreement.

20. Consider the following agreements :

- I. ISLFTA (India-Sri Lanka Free Trade Agreement)
- II. SAFTA (South Asian Free Trade Area)
- III. CECA (Comprehensive Economic Cooperation Agreement between India and Singapore)
- IV. SAPTA (South Asian Preferential Trade Arrangement)

Which of the following is the correct chronological order of the above agreements?

- (a) I – III – II – IV
- (b) IV – I – II – III
- (c) II – I – IV – III
- (d) I – II – III – IV

56th to 59th B.P.S.C. (Pre) 2015

Ans. (b)

SAFTA is the free trade arrangement of the South Asian Association for Regional Cooperation (SAARC). It was signed on 6th January, 2004 at the 12th SAARC Summit held in Islamabad. The arrangement came into force in 2006. ISLFTA was signed on 28th December, 1998 and entered into force with effect from 1st March, 2000. CECA is a free trade agreement between Singapore and India. It was signed on 29th June, 2005. SAPTA was signed on 11th April, 1993 and came into force from 7th December, 1995.

21. G-15 is :

- (a) An organization of developed countries of the World
- (b) An organization of developed countries of Europe
- (c) An organization of developing countries of Asia
- (d) An organization of developing countries of the World

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (d)

The **Group of fifteen** (G-15) is an informal forum of developing countries. It was set up in September, 1989 at the 9th **Non-Aligned Movement** (NAM) summit in Belgrade, Yugoslavia. The aim was to strengthen cooperation among the World's leading developing nations and serve as a bridge to then (G-7) industrialized nations. The headquarters of G-15 is located in Geneva, Switzerland.

22. What is the full form of SAPTA?

- (a) South Asia Preferential Trade Agreement
- (b) SAARC Preferential Trading Arrangement
- (c) South Asia Preferential Trade Agency
- (d) None of the above

40th B.P.S.C. (Pre) 1995

Ans. (b)

The full form of SAPTA is SAARC Preferential Trading Arrangement, which came into effect on Dec. 7, 1995.

23. Which of the following countries is not a member of 'SAARC'?

- (a) China (b) Myanmar
(c) Maldives (d) Bhutan

43rd B.P.S.C. (Pre) 1999

42nd B.P.S.C. (Pre) 1997-98

Ans. (*)

The South Asian Association for Regional Co-operation (SAARC), formed on December 8, 1985, has the following seven countries of South Asia as members- (1) India (2) Pakistan (3)

Sri Lanka (4) Nepal (5) Bangladesh (6) Maldives and (7) Bhutan. In the 12th summit of SAARC, the decision to make Afghanistan a member of this organization was taken unanimously by the member nations. Afghanistan participated as a member state in the 13th summit of SAARC held in New Delhi in 2007. Therefore, at present the number of member countries of SAARC has increased to 8, while China and Myanmar are not its members. Hence both option (a) and (b) are correct.

24. Which one of the following countries is not a member of the G-8 Group?

- (a) France (b) Italy
(c) Spain (d) Germany

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (c)

The group of seven (G-7) is an informal bloc of industrialized democracies i.e. France, Germany, Italy, the United Kingdom, Japan, the United States and Canada. G-7 was formed as G-6 in 1975. The G-7 was known as the 'G-8' for several years after the original seven were joined by Russia in 1997. The group returned to being called G-7 after Russia was suspended as a member in 2014 following the latter's annexation of the Crimea region of Ukraine. In 2017, Russia announced its permanent withdrawal from the G-8.

The 49th G-7 summit was held in Hiroshima, Japan in May, 2023, under the Presidency of Japan. 50th G-7 summit was held from 13 to 15 June 2024 in the city of Fasano in Apulia, Italy.

25. Which country is not the member of G-8?

- (a) India (b) Germany
(c) Japan (d) Canada

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (a)

See the explanation of the above question.

26. 'ASEAN' stands for :

- (a) Academy of South-East Asian Nations
(b) Association of South-East African Nations
(c) Association of South-East Asian Nations
(d) None of the above

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (c)

The **Association of Southeast Asian Nations** (ASEAN) was established on 8 August, 1967 in Bangkok, Thailand with the signing of the ASEAN Declaration (Bangkok Declaration). It has 10 members i.e. Indonesia, Thailand, Malaysia, Philippines, Singapore, Brunei, Vietnam, Lao PDR (Laos), Myanmar and Cambodia. The ASEAN headquarters is located in Jakarta, Indonesia.

27. Which State Government has signed a pact with Airport Authority of India (AAI) to develop villages in Kamrup?

- (a) West Bengal (b) Mizoram
(c) Nagaland (d) Assam
(e) None of the above/More than one of the above

63th B.P.S.C. (Pre) 2017

Ans. (d)

The Airport Authority of India (AAI) signed a MoU with Assam Government under its Corporate Social Responsibilities (CSR) initiatives for sustainable development of human settlements at villages in Kamrup district.

28. What is the full form of APEC?

- (a) Asia for Peace and Economic Cooperation
(b) Asian Pact for Environment Control
(c) Asia Pacific Economic Cooperation
(d) Asia Pacific Economic Conference

41st B.P.S.C. (Pre) 1996

Ans. (c)

At the initiative of the then Australian Prime Minister Bob Hawke, APEC was established in November, 1989. The full form of APEC is the Asian Pacific Economic Co-operation. Spanning from New Zealand to Canada, APEC has 21 member states with the world's largest and expanding economies.

29. South Asian Preferential Trade Agreement (SAPTA) was formally inaugurated on-

- (a) 7th December, 1994 (b) 7th November, 1993
(c) 7th December, 1995 (d) None of the above

41st B.P.S.C. (Pre) 1996

Ans. (c)